

China Daily Brief

Sunday, September 27, 2026

2,474 words · 10 min read

RE: Xi-Trump summit fallout · Scarborough Shoal drills · AI dialogue set for Nov · Taiwan absent from readouts

USD/CNY
6.7125
▲ +0.22%

SSE COMPOSITE
3,888.37
▼ -0.60%

HANG SENG
24,510.09
▼ -0.97%

BRENT
\$97.44
▼ -1.82%

IN THIS ISSUE [Top Stories](#) · [US-China](#) · [The World](#) · [Beijing](#) · [Markets](#) · [Statements](#) · [Analysis](#) · [Overnight](#) · [The Wire](#) · [Upcoming](#)

• TODAY AT A GLANCE

- 1 Xi and Trump's Washington summit produced an eight-point consensus with \$30 billion in reciprocal tariff cuts and a November AI dialogue, but neither government's official readout publicly mentioned Taiwan.
- 2 PLA's Southern Theater Command and China Coast Guard ran simultaneous joint drills at Scarborough Shoal on September 27, days after a coast guard collision near Sabina Shoal and a resupply standoff at Second Thomas Shoal.
- 3 Trump said Xi 'understands very much how I feel' on Taiwan without elaborating, while US Ambassador David Perdue told CNBC there is 'no change' in US Taiwan policy after the summit.

US-CHINA

China, US agree to AI-incident channel, \$30bn tariff cuts in eight-point summit consensus

The US and China agreed to a bilateral communication channel for AI incidents and more favorable tariff treatment on *\$30 billion* of goods each way, per an eight-point readout jointly published by MOFA, MOFCOM and China's defense ministry after **Xi Jinping's** September 23-25 Washington state visit. Beijing's readout lists a November AI dialogue, a pledge that Iran should not develop nuclear weapons, and no passage fees on international waterways; both militaries agreed to sign a crisis-communication memorandum and continue searching for remains of US servicemen killed in China.

AP, CITING WHITE HOUSE AND MOFA/MOFCOM/MND READOUTS

PLA

PLA, China Coast Guard run joint Scarborough Shoal drills as Philippines friction mounts

China's Southern Theater Command and China Coast Guard conducted simultaneous joint air-sea drills and 'rights-protection' enforcement exercises around Scarborough Shoal on September 27, days after a coast guard collision near Sabina Shoal on September 18 -- roughly *54 nautical miles* from Palawan, the closest such confrontation yet to the Philippine mainland -- and a September 24 resupply standoff at Second Thomas Shoal. A Global Times-quoted National Defense University professor, **Zhang Chi**, called the exercise a direct warning to Manila.

联合早报, CITING CHINESE SOUTHERN THEATER COMMAND AND GLOBAL TIMES

TECHNOLOGY

China's AI industry frames Western 'doomsday' warnings as ploy against Chinese rivals

Chinese AI firms and commentators are casting Western AI-safety warnings as distinctly Western thinking or a ploy to slow Chinese companies like DeepSeek from overtaking US rivals, the New York Times reports, citing distrust connected to Anthropic's public alarm-raising. The skepticism surfaces days after Beijing and Washington agreed to a November AI dialogue and a new AI-incident communication channel.

NYT

DIPLOMACY

Trump and Xi to meet twice more this year after summit yields no trade breakthrough

Trump and Xi confirmed they will meet again at November's APEC summit in Shenzhen and at a G20 gathering, after a Washington visit that maintained 'good communications' but produced no

breakthrough on the trade standoff, the Financial Times reports. The visit delivered tariff relief on \$30 billion of goods, a coal-purchase pledge and panda diplomacy, but left export controls, AI governance and Taiwan unresolved.

FT

● OVERNIGHT

-
- DIPLOMACY** Two giant pandas arrive in Atlanta after Xi-Trump summit · AP China
Pandas Ping Ping and Fu Shuang landed in Atlanta on September 27 for a 10-year stay at Zoo Atlanta, days after Xi's Washington visit. The loan was among the deliverables listed alongside the \$30 billion tariff swap.
-
- DIPLOMACY** China pushes back against US on Iran, Cuba in UN speech · Reuters China
A Chinese representative used a UN General Assembly speech to push back against US positions on Iran and Cuba. The speech follows the summit's stated agreement that Iran should not develop nuclear weapons.
-
- DIPLOMACY** China again promotes global development initiative at UN · AP China
China used its UNGA address to promote global development as the answer to world challenges, as in past years. Vice President Han Zheng represented Beijing at high-level week after Xi skipped it following his Washington visit.
-
- DIPLOMACY** Chinese CEOs traveled to Washington despite summit invite uncertainty · Nikkei Asia China
Senior executives from some of China's largest companies traveled to Washington for Xi's state visit despite uncertainty over invitations. Their presence coincided with the tariff-relief announcement on \$30 billion of goods each way.
-
- DIPLOMACY** Trump marvels at Xi's faster flight path to Washington · SCMP China
Trump told Xi over tea in the White House Red Room his plane was 'the fastest plane,' remarking on Xi's quick flight compared with Trump's own May trip to Beijing. Xi replied the difference owed to 'its route.'
-
- TECHNOLOGY** China state media: US shares responsibility for managing AI · Bloomberg China
Chinese state media said the US shares responsibility for managing AI risks, days after Beijing and Washington agreed to a bilateral AI-incident communication channel. The commentary followed Xi's call for AI to remain under human control.
-

DIPLOMACY · BLOOMBERG CHINA

US and Chinese summit readouts diverge on emphasis, agree on omitting Taiwan

Bloomberg's side-by-side comparison finds the White House and Beijing statements broadly matched on the \$30 billion tariff swap and AI dialogue but diverged in framing on trade and security priorities. Neither government's official readout named Taiwan, though officials on both sides confirmed the subject came up privately.

DIPLOMACY · TAIPEI TIMES (DIRECT)

Perdue: 'No change' in US Taiwan policy after Xi visit

US Ambassador to China David Perdue told CNBC 'there's no change in the Taiwan policy here,' saying Trump remains 'fully committed to the one China policy' and to the Taiwan Relations Act, Three Joint Communiques and Six Assurances. Perdue said Washington believes Xi 'received that message' opposing coercion.

MILITARY · REUTERS CHINA

US 'very much' understands Taiwan's defence needs, Taipei official says

A senior Taiwanese official said Washington 'very much' understands Taiwan's defense requirements following the Trump-Xi summit. The remark follows Trump's comment that he and Xi 'didn't spend a lot of time' on Taiwan during their talks.

INVESTMENT · CNBC CHINA

Chinese data-center makers eye US AI infrastructure boom

Chinese data-center manufacturers see US AI infrastructure demand as a market opportunity even as national-security roadblocks remain. The report comes as Washington and Beijing set up a new bilateral AI-incident communication channel following the summit.

TARIFF · 财联社 (CAILIAN)

MOFA pressed on whether China confirms trade-truce extension to Jan 10

A reporter asked China's Foreign Ministry whether Beijing agreed with Treasury Secretary Bessent's statement that the two countries extended their 'trade truce' to January 10, 2027; the ministry had not previously announced any extension. The exchange came at a routine MOFA press briefing following the Xi-Trump summit.

DIPLOMACY · NIKKEI ASIA CHINA

Xi calls for human control of AI, limits on US-China rivalry

Xi Jinping stressed cooperation and stability in his first White House remarks in years, calling for AI to remain under human control. The remarks accompanied the two governments' agreement to launch a bilateral AI dialogue in November.

CROSS-STRAIT · TAIPEI TIMES (DIRECT)

Marshall Islands president urges Taiwan's UN inclusion

Marshall Islands President Hilda Heine told the UN General Assembly that 'only Taiwan's elected government can represent the people of Taiwan' and called for 'appropriate ways' to enable Taiwan's substantive UN participation. She said Resolution 2758 is being used as a false pretext for coercion.

JAPAN · KYODO CHINA

Takaichi says Japan, US agree to coordinate on China issues

Japanese Prime Minister Sanae Takaichi said Tokyo and Washington agreed to collaborate on various China-related issues following the Trump-Xi summit. Takaichi separately held phone talks with Trump after the summit concluded.

MULTILATERAL · SCMP CHINA

Xi skipped UN General Assembly after Washington summit

Xi Jinping did not travel to New York for UNGA high-level week after his Washington visit, sending Vice President Han Zheng instead to meet Secretary-General Guterres on September 25. Han told Guterres this year marks the 55th anniversary of the PRC's restored UN seat.

MULTILATERAL · 联合早报 (LIANHE ZAOBAO ZH)

China weighing two Latin American women for next UN chief

Beijing is weighing Costa Rican economist Rebeca Grynspan and Guyana's UN ambassador Carolyn Rodrigues-Birkett as candidates for UN Secretary-General, having ruled out IAEA Director-General Grossi. Grynspan led a straw poll with nine encourage votes but concerns persist over her perceived closeness to Israel and Washington.

LATIN AMERICA · FT CHINA

Nicaragua grants Chinese miners rights to a tenth of its land

Nicaragua has issued dozens of mining concessions to Chinese companies covering roughly a tenth of its territory, deepening Beijing's foothold in Central America as it competes with Washington for regional influence. The concessions span gold-rich sites amid a broader US-China contest over Latin America's critical minerals.

AFRICA · SCMP CHINA

Kenya's Mrima Hill emerges as US-China minerals rivalry site

Mrima Hill, roughly 65km southwest of Mombasa and rich in rare earths and niobium, has become a competing ground for US-led and Chinese bidders seeking development rights. Washington has offered to support Kenya's domestic critical-minerals processing industry to counter Beijing's regional position.

1,829

Banks now connected to China's CIPS yuan-clearing network

Guancha commentary says the network has grown from 217 direct participants as Beijing expands renminbi trade settlement, citing 3 trillion yuan in daily China-Hong Kong yuan clearing.

观察者网 (Guancha ZH)

• ECONOMY & BUSINESS

FINANCE · BLOOMBERG CHINA

China's consumer stocks face 'lost decade' as AI dominates

Bloomberg reports China's consumer-sector stocks risk a prolonged slump as investor capital rotates into AI-linked names.

AUTO / MASERATI, JAC MOTORS, HUAWEI · 观察者网 (GUANCHA ZH)

Maserati in talks with JAC, Huawei on EV platform, sources say

Industry sources cited by Guancha say Maserati is negotiating with JAC Motors and Huawei to co-develop electric SUV and GT models after parent Stellantis posted a 22.3 billion euro net loss in 2025; Maserati reportedly loses 100,000 yuan on every car sold.

AUTO / CHANGAN AUTOMOBILE, CAO A GROUP · 界面新闻 (JIEMIAN ZH)

Changan Automobile signs strategic pact with Brazil's Caoa Group

Changan Automobile signed a strategic cooperation agreement with Brazil's Caoa Group on September 27 to shift from trade cooperation to full value-chain collaboration in Brazil.

TECH / HONG KONG MICROELECTRONICS RESEARCH AND DEVELOPMENT INSTITUTE · SCMP

Hong Kong sets June deadline for Hetao cross-border talent flow

Hong Kong technology minister Sun Dong said cross-boundary talent flows within the Hetao innovation hub will launch by June 2027 at the latest, with semiconductor production due to begin this year at the Hong Kong Microelectronics Research and Development Institute.

MACRO · 搜狐 (VIA 中国人民银行/PBOC-LINKED ECONOMIST)

China's trade surplus hits record for Jan-Aug period amid global rate hikes

China's Jan-Aug trade surplus reached \$805.51 billion, a record for the period, as August exports rose 25% year-on-year in dollar terms, a Renmin University economist said, arguing this let the PBOC hold rates steady while the Fed and ECB tightened.

• WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · SUNDAY, SEPTEMBER 27, 2026

外交部/商务部/国防部 · MINISTRY OF FOREIGN AFFAIRS / COMMERCE / DEFENSE · *Joint readout*

China publishes eight-point consensus from Xi's US state visit

The joint statement lists a \$30 billion reciprocal tariff-cut arrangement, a November AI dialogue and AI-incident communication channel, mutual support for hosting APEC and G20 summits, and a pledge on Iran's non-nuclear commitment.

→ [MOFA ZH](#) ↗

国务院 · STATE COUNCIL · CHINA-US RELATIONSHIP FRAMING FROM XI'S WASHINGTON VISIT

CONCILIATORY · TO US

Joint MOFA/MOFCOM/MND statement · Official eight-point consensus readout

“The two sides agreed to build a 'China-US constructive relationship of strategic stability based on respect, fairness, and reciprocity.'”

双方同意构建“基于尊重、公平、对等的中美建设性战略稳定关系”。

Statement is point one of the eight-point consensus readout jointly published by MOFA, MOFCOM and MND following Xi's September 23-25 Washington state visit.

外交部 (MOFA ZH)

国防部 · MND · NEW AI DIALOGUE AND INCIDENT COMMUNICATION CHANNEL

CONCILIATORY · TO US

Joint MOFA/MOFCOM/MND statement · Official eight-point consensus readout

“The two sides agreed to establish a China-US artificial intelligence dialogue to exchange views on AI-related risks and benefits. The next dialogue will be held in November this year. The two sides agreed to establish a communication channel for AI incidents.”

双方同意建立中美人工智能对话，交流人工智能相关风险和惠益。下次对话将于今年11月举行。双方同意建立人工智能事件的沟通渠道。

Part of the eight-point consensus reached during Xi's Washington visit, released jointly by MOFA, MOFCOM and MND.

国防部 (MND ZH)

国防部 · MND · SCARBOROUGH SHOAL JOINT DRILLS WARNING TO PHILIPPINES

WARNING · TO PHILIPPINES

Southern Theater Command · PLA Southern Theater Command statement

“The drills are 'a necessary action in response to individual countries undermining regional peace and stability at present.'”

针对当前个别国家破坏地区和平稳定的必要行动

Statement accompanied September 27 joint PLA Southern Theater Command and China Coast Guard drills near Scarborough Shoal, following the Sabina Shoal collision and Second Thomas Shoal standoff.

联合早报 (Lianhe Zaobao ZH)

商务部 · MOFCOM · IRAN NUCLEAR COMMITMENT AND INTERNATIONAL WATERWAY FEES

ROUTINE · TO OTHER

Joint MOFA/MOFCOM/MND statement · Official eight-point consensus readout

“Both heads of state agreed Iran should fulfill its commitment not to develop nuclear weapons, and no country or institution should impose passage fees on international waterways.”

两国元首同意伊朗应履行不发展核武器的承诺，任何国家或机构都不得对国际水道征收通行费。

Point three of the eight-point consensus published after Xi's Washington visit, amid continuing Middle East tensions.

• WHAT OTHERS ARE SAYING

SCMP · SEPT 26, 2026

Donald Trump · US President

“We didn't spend a lot of time talking about Taiwan. He understands very much how I feel.”

Trump made the remark two days after the September 23-25 Washington summit, without detailing what was discussed on Taiwan.

source

TAIPEI TIMES/CNBC · SEPT 27, 2026

David Perdue · US Ambassador to China

“Nothing has changed there. We're not changing the language. We're not changing our position there. We want peace across the Strait. We don't want coercion. We don't support independence.”

Perdue spoke to CNBC the day after the Trump-Xi summit, reaffirming the Taiwan Relations Act, Three Joint Communiqués and Six Assurances remain in force.

source

TAIPEI TIMES · SEPT 27, 2026

Hilda Heine · President of the Marshall Islands

“Only Taiwan's elected government can represent the people of Taiwan.”

Heine addressed the UN General Assembly's 81st session general debate, calling Resolution 2758 a false pretext for coercion.

source

CHINA TIMES · SEPT 26, 2026

Wu Chih-chung · Taiwan Deputy Foreign Minister

“Taiwan has no Taiwan-independence problem -- our country is called the Republic of China, and it has every element of a sovereign, independent state. Why would we declare independence?”

Wu's comment followed Wang Yi's Taiwan-related remarks during Xi's Washington visit, per China Times reporting on cross-strait political fallout.

source

TRADE/FINANCE

观察者网 (GUANCHA ZH)

Chinese commentary: CIPS network grows to 1,829 banks as yuan clearing expands

Guancha commentary says China's CIPS network has grown from 217 to 1,829 participating banks, citing 3 trillion yuan in daily China-Hong Kong yuan clearing.

TECHNOLOGY

香港01 (HK01 ZH)

MOFA: China 'respects' US use of term 'superintelligence' over 'AI'

Asked about Washington's use of 'superintelligence' rather than 'artificial intelligence,' China's Foreign Ministry said it 'respects the US side's terminology.'

解放军报 (PLA DAILY ZH)

Xinhua: US, Russia weakened AI-weapons safety clauses in UN talks, WaPo reports

Xinhua cited a Washington Post report that US and Russian diplomats stripped safety provisions from a draft UN treaty on lethal autonomous weapons in Geneva; further talks are set for November.

DIPLOMACY

香港01 (HK01 ZH)

China's Osaka consul-general calls Japan 'world champion' of anti-China sentiment

Consul-General Xue Jian said China-Japan relations are severe and called Japan the 'world champion' of anti-China sentiment.

联合早报 (LIANHE ZAOBAO ZH)

Peng Liyuan's Washington visit cast as Chinese soft-power diplomacy

Chinese First Lady Peng Liyuan's museum visit with Melania Trump and Mandarin-style dress choices were framed by Chinese diplomats as 'soft power' during Xi's state visit.

解放军报 (PLA DAILY ZH)

Xi pledges to host 100,000 US teenagers over next five years

Xi Jinping announced China will invite 100,000 American teenagers for exchange visits over the next five years, per his White House toast.

PLA

国防部 (MND ZH)

Chinese navy hospital ship arrives in Senegal

The PLA Navy hospital ship reported as 'Jixiang Fangzhou' arrived in Senegal, per China's Ministry of National Defense, the latest port call in the navy's medical diplomacy program.

● UPCOMING

Oct
1

PRC National Day, 77th anniversary

Marks 77 years since the PRC's Oct 1 1949 founding, six days after Xi's Washington state visit concluded.

Oct
25

UN Resolution 2758, 55th anniversary

Marshall Islands President Hilda Heine called the 1971 resolution a 'false pretext' for coercion against Taiwan at this week's UNGA debate.

Nov
3

US midterm elections

Will determine House and Senate control for the remainder of the Trump administration's China policy agenda.

Nov
10

Busan-deal one-year suspensions approach lapse

The BIS Affiliates Rule and China's October 2025 rare-earth export controls, both suspended under the Busan truce, are due to lapse absent an extension.

Nov
18

APEC Economic Leaders' Meeting, Shenzhen

Trump and Xi confirmed they will meet again at the summit China is hosting, per the eight-point consensus; a G20 meeting is also expected.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

[Read online](#)

[Past issues](#)

You are receiving the China Daily Brief as a member of the CSIS China Programs distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

generated 7:14 AM ET

[↑ BACK TO TOP](#)

© 2026 Center for Strategic and International Studies